

MISSTATEMENT RISK

Advanced Cases in Assurance Services (ACCTG 521)
Class 4 | MPAcc class of 2026

Agenda

Review

Overview

- Misstatement Risk

Mini-Lab

- Explaining Common 2024/2025 Accounting Restatements

Labs

- Using F-Scores a restatement risk tool

Economics of Audit

- Conflicting incentives for (i) firms to disclose and withhold information and (ii) for firms to undertake audits (or information verification).
- Factors that influence demand for audit and therefore audit fee include:
 - Agency conflicts
 - Information asymmetry
 - Risk of intentional manipulation
 - Risk of unintentional errors
 - For example, firm size (i.e., total assets)

dataDescriptions.xlsx
Query= 'Sheet1\$'

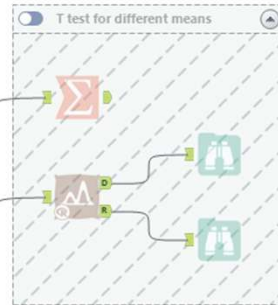
f5a.csv
audit.csv

1. csv files import all columns as text but to analyze the data we need many fields to be numbers.

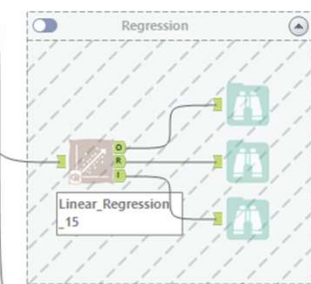
RDIntensity =
tonumber
([xrd])/tonumber
([sale])

lossIndicator = IF
tonumber([ib]...

[fyear] = "2010"



Visualization (time permitting)



Log Regression (time permitting)

Audit Risk Model

Audit Risk: risk that the auditor expresses an inappropriate audit opinion when the financial statements are materially misstated

$$AR = \underbrace{IR \times CR \times DR}_{RMM}$$

- **Inherent Risk:** risk that a management assertion is materially misstated (before considering internal controls)
- **Control Risk:** risk that internal controls fail to detect a misstatement
- **Detection Risk:** risk that auditors fail to detect a misstatement

Audit Planning

- Assessment of business risks is fundamental to thoughtful planning and execution of the audit.
- Business risks provide helpful starting point for assessing financial statement risks.
- Firm disclosures are helpful but can also contain boilerplate information or inconsistencies. Consider broad sources.
- Materiality is judged by whether the information would change the decision of a reasonable investor
- Materiality is based on qualitative and quantitative factors. It is **subjective** and requires judgment, but it is a critical starting point for understanding where to focus audit planning attention.

W What is the purpose of the 'Dynamic Audit Planning' approach described in the prior case?

To ensure the audit is identical to the previous year's audit

To assess how audit risks have changed since the prior year

To simplify the auditing process for recurring accounts

To implement a new auditing technology each year

None of the above

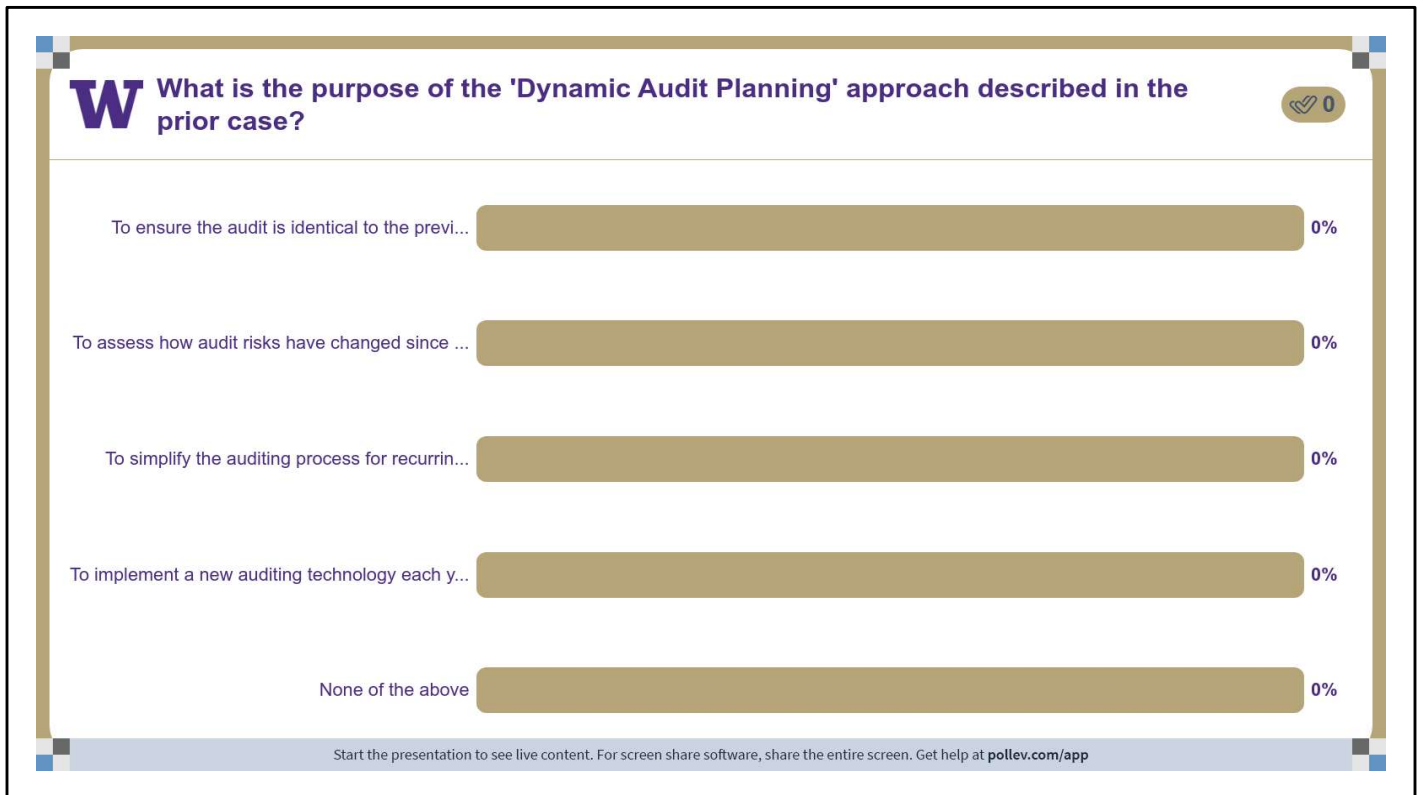
Start the presentation to see live content. For screen share software, share the entire screen. Get help at pollev.com/app

Poll Title: Do not modify the notes in this section to avoid tampering with the Poll Everywhere activity.

More info at polleverywhere.com/support

What is the purpose of the 'Dynamic Audit Planning' approach described in the prior case?

https://www.polleverywhere.com/multiple_choice_polls/nEViTkXwOCAe4L986piZ1?display_state=instructions&activity_state=opened&state=opened&flow=Engagement&onscreen=persist

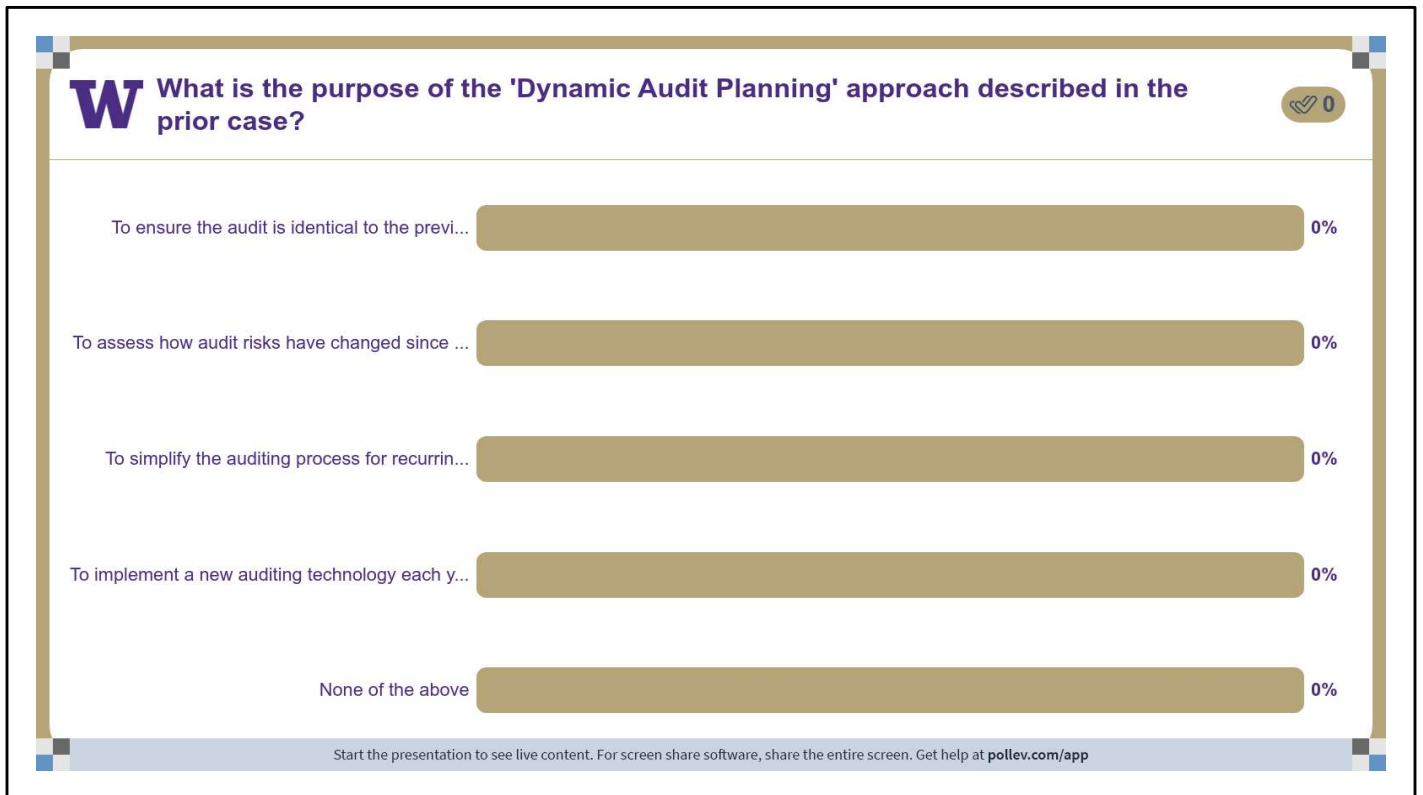


Poll Title: Do not modify the notes in this section to avoid tampering with the Poll Everywhere activity.

More info at pollev.com/support

What is the purpose of the 'Dynamic Audit Planning' approach described in the prior case?

https://www.pollev.com/multiple_choice_polls/nEVITkXwOCAe4L986piZ1?display_state=chart&activity_state=opened&state=opened&flow=Engagement&onscreen=persist



Poll Title: Do not modify the notes in this section to avoid tampering with the Poll Everywhere activity.

More info at polleverywhere.com/support

What is the purpose of the 'Dynamic Audit Planning' approach described in the prior case?

https://www.polleverywhere.com/multiple_choice_polls/nEViTkXwOCAe4L986piZ1?display_state=chart&activity_state=closed&state=closed&flow=Engagement&onscreen=persist

Agenda

Review

Overview

- **Misstatement Risk**

Mini-Lab

- Explaining Common 2024/2025 Accounting Restatements

Labs

- Using F-Scores a restatement risk tool

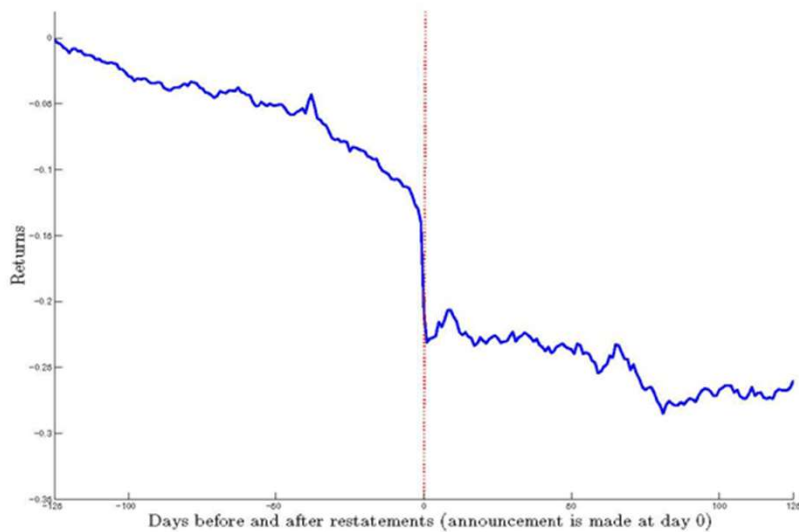
What is a Misstatement? (AS2810.A2)

"A misstatement, if material individually or in combination with other misstatements, causes the financial statements not to be presented fairly in conformity with the applicable financial reporting framework. **A misstatement may relate to a difference between the amount, classification, presentation, or disclosure of a reported financial statement item** and the amount, classification, presentation, or disclosure that should be reported in conformity with the applicable financial reporting framework. Misstatements can arise from error (i.e., unintentional misstatement) or fraud."

Material Misstatements

- Material misstatements will cause a firm to **restate** their financial statements.
- Many restatements are publicly announced in an 8-K.

Market response to restating firm



- Average abnormal returns below negative 9%
- Why might investors perceive a restatement as bad news?

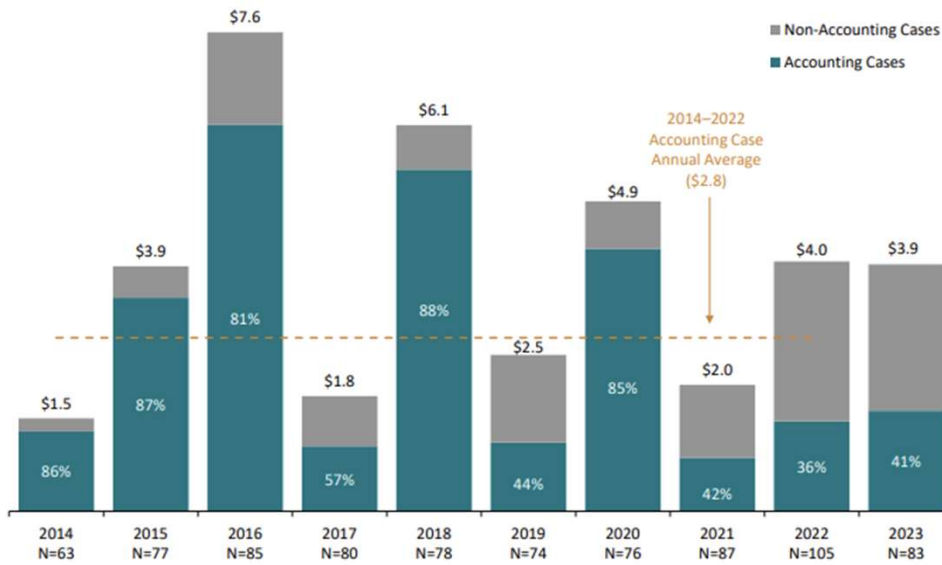
Impact on auditor of a client restatement

- Auditors face a higher likelihood of litigation when a client restates
 - increasing for common frauds
 - and those including fictional transactions

Who do you expect brings legal action against the auditor? And why?

Figure 13: Accounting Case Settlement Dollars as a Percentage of Total Settlement Dollars
2014–2023

(Dollars in billions)



Note: Settlement dollars are adjusted for inflation; 2023 dollar-equivalent figures are presented.

Source: Cornerstone Research “Accounting-Class-Action-Filings-and-Settlements-2023”

Figure 14: Claims and Allegations in Accounting Case Settlements
2019–2023

	Percentage of Settlements				
	2019	2020	2021	2022	2023
Claims in Accounting Case Settlements					
Rule 10b-5 Claims	97%	92%	88%	98%	97%
Section 11 Claims	6%	29%	30%	23%	14%
Section 12(a) Claims	3%	16%	21%	14%	11%
Allegations in Accounting Case Settlements					
GAAP Violations Only	26%	26%	18%	40%	43%
Internal Control Weaknesses Only	15%	16%	21%	16%	14%
Both GAAP Violations and Internal Control Weaknesses	59%	58%	61%	44%	43%

Note: **GAAP Violations** are allegations of U.S. GAAP violations or violations of other reporting standards such as IFRS. In some lawsuits, plaintiff(s) may not have expressly referenced violations of U.S. GAAP or other reporting standards; however, the allegations, if true, would represent violations of U.S. GAAP or other reporting standards. Allegations are based on the most recent complaint prior to settlement.

Source: Cornerstone Research “Accounting-Class-Action-Filings-and-Settlements-2023”

Impact on management of a misbehavior-related restatement

- Firms with a misbehavior-related restatement had higher turnover in 13 months around restatement
 - 49% of CEOs vs only 8% for error-related restatement
 - 64% of CFOs vs only 12% for error-related restatement
 - 91% of misbehavior restatements had either CEO or CFO leave (Hennes, Leone, and Miller 2008)
- More on misbehavior vs error related restatement:
 - Market reaction is -14% for misbehavior restatement, -2% for error-related restatement
 - 80% of misbehavior has a class action lawsuit, while only 1% of error did

Agenda

Review

Overview

- Misstatement Risk

Mini-Lab

- **Explaining Common 2024/2025 Accounting Restatements**

Labs

- Using F-Scores a restatement risk tool

Mini-Lab

- Goal: Explain, using an example firm, one of the top-10 reasons for restatements in 2024/2025.

Mini-Lab Assignments

Discussion Team	Count of Restatements	Accounting Issue
1	103	Debt, quasi-debt, warrants & equity (BCF) security issues
2	62	Liabilities, payables, reserves and accrual estimate failures
3	59	Revenue recognition issues
4	57	EPS, ratio and classification of income statement issues
5	51	Cash flow statement (SFAS 95) classification errors
6	43	Expense (payroll, SGA, other) recording issues
7	42	Acquisitions, mergers, disposals, re-org acct issues
8	39	PPE intangible or fixed asset (value/diminution) issues
9	38	Accounts/loans receivable, investments & cash issues
10	36	Debt and/or equity classification issues

Alteryx Workflow Hints

1. Read in "Accounting_restatements.yxdb"
2. Save workflow to your /my_work/ folder
3. Filter [RES_ACCOUNTING_RES_CAT_TIT_LIS]
4. ID one firm to research as your example, and start with reading the information in the variable [DISCLOSURE_TEXT]
5. Note larger impacts on restated net income are more negative in [CHANGE_CUM_NET_INCOME_USD]
6. Note [HTTP_FILE_NAME_HTML_OF_8K_402] is a partial link to the filing @ www.sec.gov (var is /Archives/...)

Agenda

Review

Overview

- Misstatement Risk

Mini-Lab

- Explaining Common 2024/2025 Accounting Restatements

Labs

- **Using F-Scores a restatement risk tool**

What firm characteristics might predict restatement risk?

Discussion Teams	Firm Characteristic	Measures	+ / - ?	Why?
1,2,3	Accruals	ChgRec, ChgInv, RSST accruals, % soft assets		
4,5	Firm Performance	ChgROA, ChgCashSales		
6	Abn chg in # employees	AbnChgEmp		
7	Off-balance sheet information	OperLeases		
8	Stock / Debt market incentives	IssueDebtEquity		
9,10	Growth expectations	StockReturns, BooktoMarket		

F-Score

- The F-Score combines the information in these different firm characteristics to predict the likelihood or risk of restatements.
 - F-Scores above one indicate increased risk, with the higher the number the higher the risk (capped at 5)
 - Numbers less than or equal to one imply no heightened risk.

F-Score Lab Assignments

Discussion Team	Audit Firm Focus
1	BDO International (BDO USA in North America)(Seidman and Seidman prior to September 1, 1988)
2	Crowe Horwath
3	Deloitte & Touche (Deloitte, Haskins and Sells prior to December 4, 1989; Haskins & Sells prior to May 1, 1978)
4	EisnerAmper LLP (Richard A. Eisner prior to August 16, 2010)
5	Ernst & Young (Ernst & Whinney from July 1, 1989 to September 29, 1989; Ernst & Ernst prior to July 1, 1989)
6	Grant Thornton
7	KPMG (Peat, Marwick, Mitchell prior to April 1, 1987)
8	Moss Adams
9	PricewaterhouseCoopers (Price Waterhouse prior to July 1, 1998 merger with Coopers and Lybrand)
10	RSM (McGladrey LLP prior to October 26, 2015; McGladrey and Pullen prior to May 1, 2012; McGladrey, Hendrickson and Pullen prior to May 1988)

Lab Exercise

1. File for analysis is either fscore_data_with_auditor.yxdb (Alteryx) or .hyper (Tableau)
2. Identify your Assigned Audit Firm Companies and their F-Scores.
3. Research one high risk company and one low risk company using F-Score.
4. Identify if a company characteristic in the F-Score model could help identify accounts with heightened misstatement risk.

Thank you!

